HD Hyundai Marine Solution
(443060 KS)

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Capitalizing on Hyundai Heavy's expansion

Rally expands after HD Hyundai Heavy Industries' capex disclosure

HD Hyundai Heavy Industries (HHI) announced plans to invest W830bn (including the cost of acquiring land) to expand capacity for high-output power-generation engines, with completion targeted for May 2028. The group plans to expand combined annual land-based power-generation engine production capacity from the current combined capacity of 0.7GW across HHI and HD Hyundai Engines (HHE) to 3GW at HHI and 1GW at HHE by 2030, giving the Group a total annual capacity of 4GW. After the disclosure, HD Hyundai Marine Solution's share price rallied sharply.

HHI buys land and runs plant, so why did firm's share price rally?

HHI will begin fully recognizing OEM sales and profit from its 4GW annual capacity from 2030, but the company will recognize aftermarket (AM) sales and profit on delivered engine volumes from 2032-2033. The distinct advantage of AM over OEM is **its differentiated profit growth trajectory, which is driven by the annual increase in units in operation (UIO).**

Land-based power-generation engine AM business valued at W5.5tn even on conservative DDM basis

Our W5.5tn valuation is based on base-case OP assumptions (AM OPM 40%, no engine and AM price hikes), with a 25% tax rate applied to OP and 70% of annual net profit assumed to be paid out as dividends. We believe this is conservative because: 1) we apply a dividend discount model (DDM) instead of a discounted cash flow (DCF) model; and 2) we assume a 9% cost of equity and 0% perpetual growth rate.

Maintain BUY and keep as sector top-pick on data center exposure

We revise up our target price to W448,000, and retain our view that the company is the biggest beneficiary of the AIDC power-generation engine business within the domestic shipbuilding sector. Despite the relative weakness of profit generation lagging OEM by two-three years and stretching over the mid- to long term, **from a mid- to long-term investment perspective, this unique AM business model provides ground for an enterprise value re-rating.**

BUY (M)

Target price	W448,000 (Up)
Previous target price	W412,000
Current price (Sep 11)	W247,000
Upside potential	81%

Market cap (Wbn)	11,074
Shares outstanding	44,833,460
Avg daily T/O (2M, Wbn)	26
Avg daily volume (2M, shrs)	125,968
52-week high/low (won)	280,500 / 159,100
Foreign ownership (%)	30.37%
Dividend yield (%)	2.04%
Major shareholders	HD Hyundai & others

Stock performance

(%)	1M	3M	12M
Absolute	23.5	0.6	12.5
Relative	13.4	13.0	(45.5)
Abs (US$)	29.9	14.3	16.4

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	603	17.5	3.9	589	2.4
OP	120	27.9	22.6	106	12.7
Pre-tax net profit	132	26.1	21.5	113	16.7
Net profit, CI	94	18.4	13.8	84	12.4
OPM (%)	19.8	+1.6 %pt	+3.0 %pt	18.0	+1.8 %pt
NPM (%)	15.7	+0.2 %pt	+1.4 %pt	14.3	+1.4 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	1,745	1,983	2,438	2,759
OP	272	350	458	609
Net profit, CI	228	270	365	473
P/E (x)	24.8	30.8	30.4	23.4
P/B (x)	7.6	10.1	11.0	9.9
EV/EBITDA (x)	19.0	21.4	21.8	16.5
ROE (%)	45.0	33.7	39.8	44.4

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

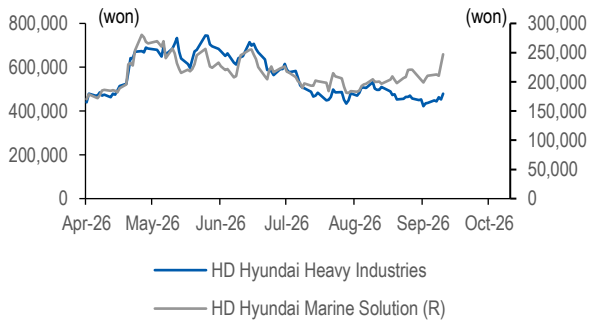
Long-awaited capacity expansion; 3GW net addition brings total to 4GW

On Sep 10, HHI disclosed a W833.6bn investment plan (including land acquisition). The investment will expand capacity for high-output power-generations engines, with regulatory approval targeted for Feb 2027 and completion of the new plant scheduled for May 2028. Through this, HHI will establish a dedicated 3GW HiMSEN power-generation engine plant at the new facility, and HHE will secure 1GW in capacity, concentrating existing marine engine production at the main Ulsan production site.

Why is HD HMS rallying when HHI is building the plant?

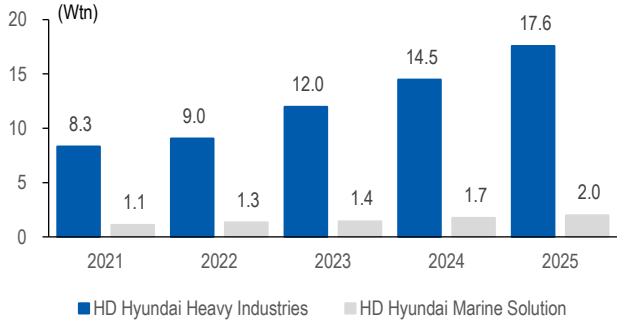
Compared with the Sep 9 close, HHI's share price rose 3.3%, while HD Hyundai Marine Solution (HMS) gained 17.3%. The most notable difference is that HHI's total revenue was more than eight times that of HD HMS in 2025. Revenue and earnings from the new business will undoubtedly be concentrated initially on HHI, which operates the production facilities. From a share-price perspective, however, their impact will be diluted by the large scale of HHI's existing businesses.

Share price trajectories of HD HHI and HD HMS diverge



Source: Bloomberg, Yuanta Securities

Key driver is operating leverage driven by top-line scale difference



Source: Bloomberg, Yuanta Securities

Revisiting the value of AM

As discussed in our Apr 23 report, focusing on the value of the AM business suggests that the company will capture benefits exceeding its direct earnings contribution. Once the new plant is completed and production capacity is secured, revenue from power-generation engines will accrue to HHI (OEM). Unlike the OEM business, however, the AM business has the advantage of generating a differentiated earnings growth trajectory driven by the annual increase in the number of units in operation (UIO). Assuming that aggregate production capacity reaches 4GW by 2030, our scenario-based revenue and OP forecasts for the OEM and AM businesses are shown below:

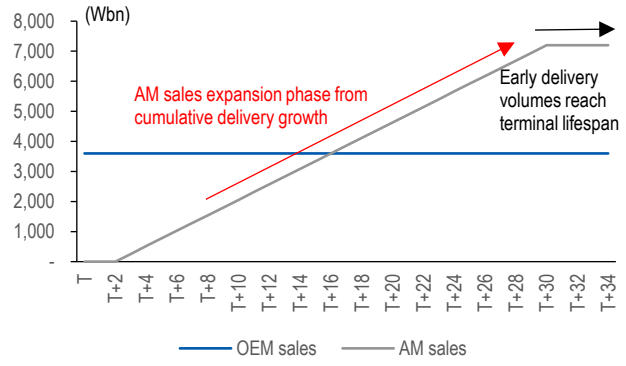
Key scenario assumptions upon securing 4GW annual power engine capacity in 2030

Factors	Unit	**Base**	Bull	Bear
Initial OEM sales (period T)	Wbn	**3,600**	4,000	3,200
Annual OEM sales growth	**%**	**0%**	**3%**	**-3%**
AM commencement time lag (T+n)	Year	**2.5**	2	3
AM sales rate (annual, % of OE price)	%	**7%**	10%	5%
AM sales duration	Year	**28**	33	23
OEM OPM	%	**30%**	35%	25%
AM OPM	%	**40%**	45%	35%

Source: Yuanta Securities

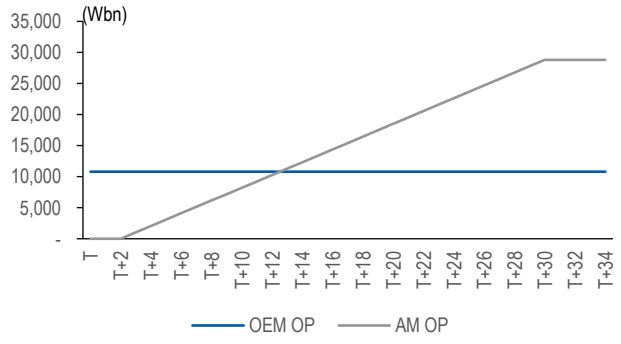
The primary difference among the scenarios is whether engine prices rise or fall. The direction of engine selling prices will depend on changes in power demand from AIDCs. Nevertheless, under every scenario, the AM business's mid- to long-term revenue and OP surpass those of the OEM business at a certain point.

Base case: annual sales estimate under flat engine pricing



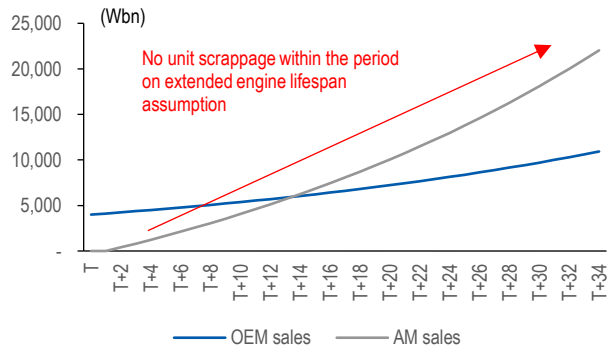
Source: Yuanta Securities

Base case: annual OP estimate under flat engine pricing



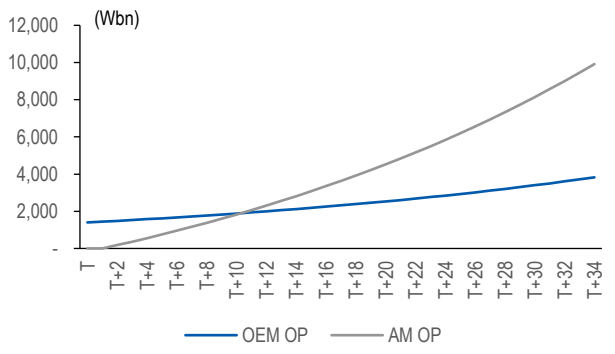
Source: Yuanta Securities

Bull case: annual sales estimate under rising engine price and extended engine lifespans



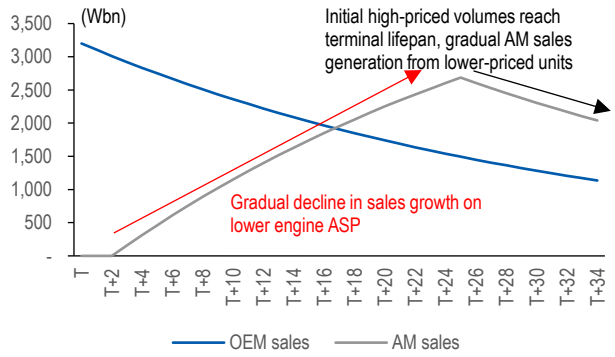
Source: Yuanta Securities

Bull case: annual OP estimate under rising engine price and extended engine lifespans



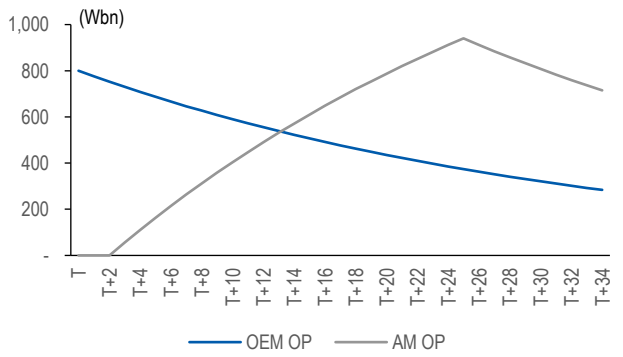
Source: Yuanta Securities

Bear case: annual engine sales estimate under falling engine price and reduced engine lifespans



Source: Yuanta Securities

Bear case: annual engine OP estimate under falling engine price and reduced engine lifespans



Source: Yuanta Securities

Ultimately, if the share price is to reflect the fair value of future earnings**, then the larger and longer-lasting earnings stream will accrue to the AM business, even if those earnings materialize somewhat later.**

New capacity-based AM biz conservatively valued at W5.5tn

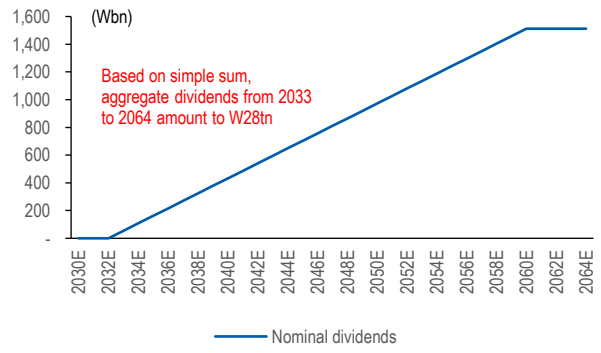
As in our previous analysis, we calculated the fair value using a dividend discount model, given the extended period over which earnings from the capacity expansion will be generated. Our W5.5tn business valuation is based on the base-case assumptions of a 40% AM OPM and no increase in engine or AM prices. We apply a 25% corporate tax rate to the resulting OP and assume that 70% of annual net profit is paid out as dividends. We consider this valuation conservative because: 1) we applied a DDM rather than a DCF model; and 2) we apply a 9% cost of equity and 0% perpetual growth rate.

Assumptions for converting HMS's OP from HD HHI's 4GW capacity expansion into dividends

Corporate tax rate	25.0%
Cost of equity	9.0%
Perpetual growth rate	0%
Dividend payout ratio	70%

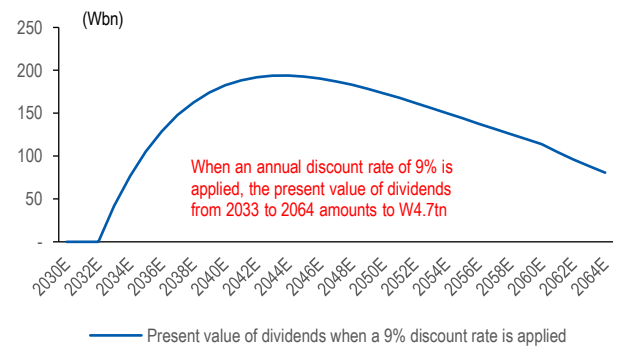
Source: Yuanta Securities

Aggregate 2033-2064 dividends amount to W28tn



Source: Yuanta Securities

Applying 9% discount, PV of dividends is W4.7tn, terminal value W0.9tn



Source: Yuanta Securities

HD Hyundai Marine Solution: valuation and fair value

	2026E	2027E	2028E
Net profit, CI (Wbn)	365	473	614
Target P/E (x)			30
Fair value based on 2026-2028E average NP			**14,518**
Data-center engine AM business (4GW; from 2030E, Wbn)			
Present value of dividends discounted at 7% (Wbn)			4,671
Present value of terminal value (Wbn)			897
Data-center engine AM business value (Wbn)			**5,569**
Existing business value + new business value (Wbn)			**20,087**
Shares outstanding at year-end (mn)			45
Target price (won)			**448,000**

Source: Yuanta Securities

HD Hyundai Marine Solution: quarterly and annual earnings forecast

(Wbn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	486	468	513	516	575	580	603	680	1,983	2,438	2,759
YoY	26.8%	6.8%	11.3%	11.4%	18.3%	24.1%	17.5%	31.7%	13.6%	23.0%	13.1%
OP	83	83	94	91	93	98	120	147	350	458	609
YoY	61.3%	16.9%	12.3%	37.5%	12.5%	17.6%	27.9%	62.6%	28.9%	30.8%	33.0%
OPM	17.1%	17.7%	18.2%	17.5%	16.3%	16.8%	19.8%	21.7%	17.7%	18.8%	22.1%

Source: company data, Yuanta Securities

HD Hyundai Marine Solution (443060 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**1,745**	**1,983**	**2,438**	**2,759**	**3,329**
Cost of sales	1,383	1,528	1,863	2,023	2,395
Gross profit	362	455	575	736	934
SG&A	90	105	117	127	137
Operating profit	**272**	**350**	**458**	**609**	**798**
EBITDA	284	363	476	627	806
Non-operating profit	25	5	35	30	32
Forex gains	21	-7	20	12	12
Net interest income	7	15	18	21	23
Equity-method gains	0	0	0	0	0
Other	-3	-3	-3	-3	-3
Net prof before income tax	297	355	493	639	830
Income tax	69	85	128	166	216
Net profit from continuing ops	228	270	365	473	614
Net profit from discontinued ops	0	0	0	0	0
Net profit	228	270	365	473	614
NP for controlling interest	**228**	**270**	**365**	**473**	**614**
Total comprehensive income	238	266	361	469	611
Total comprehensive income, CI	238	266	361	469	611

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**1,076**	**1,187**	**1,389**	**1,525**	**1,722**
Cash & cash equivalents	298	378	488	536	631
Accounts receivables & other	263	318	376	435	506
Inventory	273	271	292	301	310
Non-current assets	77	86	90	90	83
Tangible assets	20	30	34	34	26
Investment in affiliates	3	3	3	3	3
Other investment assets	0	1	1	1	1
Total assets	**1,152**	**1,272**	**1,479**	**1,615**	**1,805**
Current liabilities	343	409	433	458	493
Accounts payable & other	184	214	253	293	339
ST financial liabilities	0	0	0	0	0
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	36	39	38	37	42
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**379**	**448**	**470**	**495**	**536**
Equity, controlling interest	774	825	1,009	1,120	1,269
Paid-in capital	22	22	22	22	22
Capital surplus	385	404	404	404	404
Retained earnings	324	377	565	679	831
Equity, non-controlling interest	0	0	0	0	0
Total equity	**774**	**825**	**1,009**	**1,120**	**1,269**
Net debt	**-461**	**-546**	**-664**	**-728**	**-840**
Total debt	21	18	20	22	24

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**247**	**324**	**374**	**502**	**630**
Net profit	228	270	365	473	614
Depreciation & amortization	12	13	18	18	8
Forex gains	-6	3	-20	-12	-12
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-6	20	12	23	21
Other	18	19	-1	-1	-1
Investing cash flow	**-196**	**-21**	**-33**	**-36**	**-20**
Investment	-3	-1	0	0	0
Increase in tangible assets	-10	-17	-23	-18	0
Decrease in tangible assets	0	0	0	0	0
Other	-183	-4	-9	-18	-19
Financing cash flow	**149**	**-223**	**-201**	**-383**	**-485**
ST financial liabilities	-126	0	2	1	2
Debenture/LT financial liabilities	1	-3	0	0	0
Equity	367	20	0	0	0
Cash dividend	-100	-215	-177	-359	-462
Other cash flow	7	-26	-26	-26	-26
Consolidation adj and other	3	0	-30	-35	-30
Increase in cash & equivalents	**203**	**79**	**110**	**47**	**96**
Beginning cash & equivalents	96	298	378	488	536
Ending cash & equivalents	298	378	488	536	631
NOPLAT	272	350	**458**	**609**	**798**
FCF	**237**	**307**	**351**	**484**	**630**

Valuation

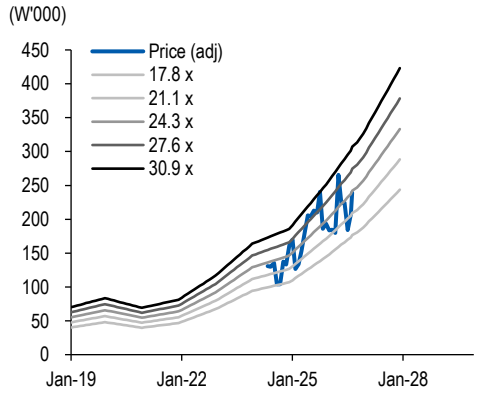
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	5,302	6,013	8,137	10,548	13,699
BPS (won)	17,255	18,396	22,508	24,980	28,304
EBITDA/shr (won)	6,595	8,093	10,627	13,997	17,968
SPS (won)	40,599	44,228	54,381	61,531	74,258
DPS (won)	3,150	3,950	8,000	10,300	0
P/E (x)	**24.8**	**30.8**	**30.4**	**23.4**	**18.0**
P/B (x)	**7.6**	**10.1**	**11.0**	**9.9**	**8.7**
EV/EBITDA (x)	**19.0**	**21.4**	**21.8**	**16.5**	**12.7**
P/S (x)	**3.2**	**4.2**	**4.5**	**4.0**	**3.3**

Key financial data

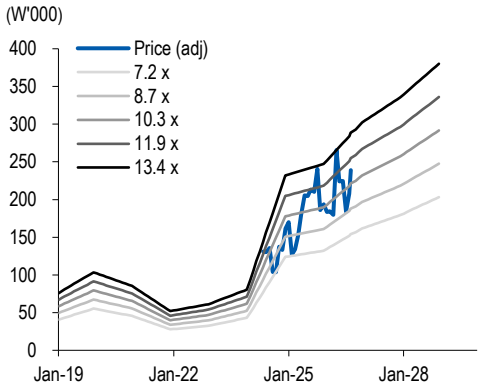
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**22.0**	**13.6**	**23.0**	**13.1**	**20.7**
Operating profit (%YoY)	**34.9**	**28.9**	**30.8**	**33.0**	**30.9**
Net profit, CI (%YoY)	**50.8**	**18.3**	**35.3**	**29.6**	**29.9**
Gross margin (%)	20.7	22.9	23.6	26.7	28.1
Operating margin (%)	**15.6**	**17.7**	**18.8**	**22.1**	**24.0**
Net margin, CI (%)	13.1	13.6	15.0	17.1	18.4
EBITDA margin (%)	16.2	18.3	19.5	22.7	24.2
ROIC (%)	76.3	98.5	117.3	130.9	151.9
ROA (%)	25.2	22.2	26.5	30.6	35.9
ROE (%)	**45.0**	**33.7**	**39.8**	**44.4**	**51.4**
Debt-to-equity (%)	49.0	54.3	46.6	44.2	42.2
Net debt-to-equity (%)	-59.6	-66.2	-65.8	-65.0	-66.2
OP/financing cost (x)	59.8	330.2	438.3	537.8	646.2

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

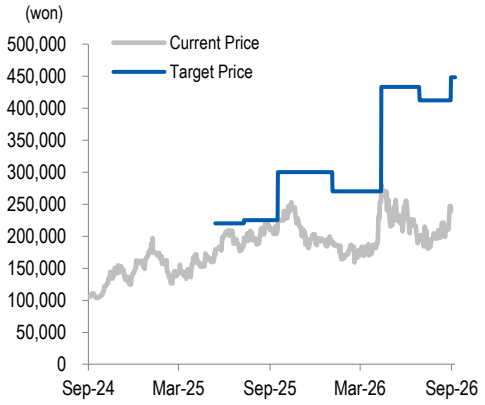
P/E band chart



P/B band chart



HD Hyundai Marine Solution (443060 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/15	BUY	448,000	1 yr		
2026/09/14	BUY	448,000	1 yr		
2026/07/13	BUY	412,000	1 yr	-50.70	-40.05
2026/04/27	BUY	433,000	1 yr	-46.66	-36.26
2026/01/19	BUY	270,000	1 yr	-32.51	-6.11
2025/10/01	BUY	300,000	1 yr	-30.02	-15.67
2025/07/25	BUY	225,000	1 yr	-9.36	-2.22
2025/05/28	BUY	220,000	1 yr	-12.50	-4.77

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.8
HOLD	3.2
SELL	0
Total	100.0

Note: As of Sep 15, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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